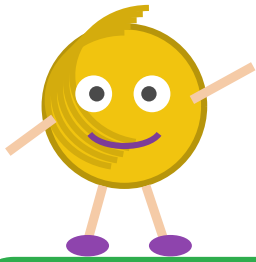


Factors of production: the resources used to make goods and services.



Factors of production are the different types of resources needed to produce goods and services.

Goods

Things people can touch, buy, use, eat or own. Examples: bread, a bike, a phone, groceries.

Services

Actions or work people do for others. Examples: haircuts, teaching, bus rides, repairs.

Three main types of resources

Natural resources



From nature or the environment. Examples: water, trees, land, soil, minerals, sunlight.

Human resources



People, skills, knowledge and effort. Examples: farmers, builders, designers, drivers.

Capital resources



Tools and equipment used to make things. Examples: tractors, factories, ovens,

Your turn

1. What is the difference between goods and services?

2. Define each type of resource. Add one example for each.

a. Natural resources

b. Human resources

c. Capital resources

Apply your understanding to real goods and services.

3. Resource detective

Write examples of the resources needed to produce each good or service.

Product or service	Natural resources from nature	Human resources people and skills	Capital resources tools and equipment
Loaf of bread			
Haircut			
Video game			

4. Sort the resources

Sort the word bank into the correct resource category.

Word bank: water teacher tractor factory soil builder laptop trees
baker oven sunlight minerals

Natural



Human



Capital

